



Business processes are often described as “value adding” or “non-value adding.” The former are part of the operation that adds value directly to customers or clients, such as physically making a product or performing a service, such as delivering food to a customer. Non-value-adding processes are support services, such as IT or accounting, which are essential for the running of a company but are invisible to customers and do not add direct value to them.

As your business grows, try to ensure that your value-adding and non-value-adding processes are in balance. Since all processes incur some cost, such as material or staff costs, spending more on value-adding processes should result in a better return on investment. Beware of neglecting your non-value-adding processes, however, since failing to produce your accounts or monitor cash flow, for example, could cause a serious problem for your business. Both types of processes can easily be mapped by thinking through each step that must be taken (or if your business is already running, by observing) and putting it into your business-process map.

## BENEFITS OF A BUSINESS MAP

A process map of your whole business will give you a full overview of the operation, and can also be used to inform others – both within, and outside, the business. By mapping out each step clearly, and how it relates to the others in the sequence, you can use it to ensure that everyone involved with the business knows exactly how it functions. This can be useful when talking to potential investors or when inducting new recruits, allowing them to see and understand how the business works.

**“There is nothing so useless as doing efficiently that which should not be done at all.”**

Peter Drucker, US management consultant

